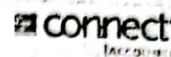


Brief Exercises



LO2-3

BRIEF EXERCISE 2.1

Recording Transactions

Walters Company purchased a piece of machinery on credit for \$20,000. Briefly state the way this transaction affects the company's basic accounting equation.

LO2-3

BRIEF EXERCISE 2.2

Recording Transactions

Foster, Inc., purchased a truck by paying \$5,000 and borrowing the remaining \$30,000 required to complete the transaction. Briefly state how this transaction affects the company's basic accounting equation.

LO2-4

BRIEF EXERCISE 2.3

Computing Retained Earnings

Bosh Company's assets total \$155,000 and its liabilities total \$85,000. What is the amount of Bosh's retained earnings if its capital stock amounts to \$50,000?

LO2-4

BRIEF EXERCISE 2.4

Computing Total Liabilities

White Company's assets total \$780,000 and its owners' equity consists of capital stock of \$500,000 and retained earnings of \$150,000. Does White Company have any outstanding liabilities and, if so, what is the total amount of its liabilities?

LO2-5

BRIEF EXERCISE 2.5

Computing Net Income

Wiley Company had total revenues of \$300,000 for a recent month. During the month the company incurred operating expenses of \$205,000 and purchased land for \$55,000. Compute the amount of Wiley's net income for the month.

LO2-5

BRIEF EXERCISE 2.6

Computing Net Income

Wexler, Inc.'s income statement showed total expenses for the year to be \$50,000. If the company's revenues for the year were \$135,000 and its year-end cash balance was \$35,000, what was Wexler's net income for the year?

LO2-6

BRIEF EXERCISE 2.7

Computing Change in Cash

Wilkes Company had the following transactions during the current year:

- Earned revenues of \$100,000 and incurred expenses of \$56,000, all in cash.
- Purchased a truck for \$25,000.
- Sold land for \$10,000.
- Borrowed \$15,000 from a local bank.

What was the total change in cash during the year?

LO2-8

BRIEF EXERCISE 2.8

Alternative Forms of Equity

Solway Company is a sole proprietorship whose owner, Joe Solway, has an equity interest of \$50,000. Had Solway been a partnership rather than a sole proprietorship, and the two equal partners were Joe and his brother Tom, how would the \$50,000 owners' equity be presented in the company's balance sheet?

LO2-8

BRIEF EXERCISE 2.9

Alternative Forms of Equity

Repeat Brief Exercise 2.8, except assume that rather than being a sole proprietorship or a partnership, Solway Company is organized as a corporation with capital stock of \$40,000. How would the \$50,000 of owners' equity be presented in the company's balance sheet?

LO2-7

BRIEF EXERCISE 2.10

Articulation of Financial Statements

Ben Washington, sole owner of Washington Mattress Company, has an ownership interest in the company of \$50,000 at January 1, 2015. During that year, he invests an additional \$20,000 in the company and the company reports a net income of \$25,000. Determine the balance of owner's equity that will appear in the statement of financial position at the end of the year, and explain how the amount of net income articulates with that figure in the balance sheet.

Exercises



LO2-3

EXERCISE 2.1

The Nature of Assets and Liabilities

Assets and liabilities are important elements of a company's financial position.

- a. Define *assets*. Give three examples of assets other than cash that might appear in the balance sheet of (1) American Airlines and (2) a professional sports team, such as the Boston Red Sox.
- b. Define *liabilities*. Give three examples of liabilities that might appear in the balance sheet of (1) American Airlines and (2) a professional sports team, such as the Boston Red Sox.

LO2-4

EXERCISE 2.2

Preparing a Balance Sheet

The night manager of Willis Transportation Service, who had no accounting background, prepared the following balance sheet for the company at February 28, 2015. The dollar amounts were taken directly from the company's accounting records and are correct. However, the balance sheet contains a number of errors in its headings, format, and the classification of assets, liabilities, and owners' equity.

WILLIS TRANSPORTATION SERVICE MANAGER'S REPORT 8 P.M. THURSDAY			
Assets		Owners' Equity	
Capital Stock	\$ 92,000	Accounts Receivable	\$ 70,000
Retained Earnings	62,000	Notes Payable	288,000
Cash	79,000	Supplies	14,000
Building	80,000	Land	70,000
Automobiles	165,000	Accounts Payable	36,000
	<u>\$478,000</u>		<u>\$478,000</u>

Prepare a corrected balance sheet. Include a proper heading.

LO2-4

EXERCISE 2.3

Preparing a Balance Sheet

The balance sheet items of Kiner Company as of December 31, 2011, follow in random order. You are to prepare a balance sheet for the company, using a similar sequence for assets as illustrated in Exhibit 2-9. You must compute the amount for Retained Earnings.

Land	\$90,000	Office Equipment	\$ 12,400
Accounts Payable	43,800	Building	210,000
Accounts Receivable	56,700	Capital Stock	88,000
Cash	36,300	Notes Payable	207,000
		Retained Earnings	?

LO2-2

EXERCISE 2.4

Accounting Principles and Asset Valuation

The following cases relate to the valuation of assets. Consider each case independently.

- World-Wide Travel Agency has office supplies costing \$1,400 on hand at the balance sheet date. These supplies were purchased from a supplier that does not give cash refunds. World-Wide's management believes that the company could sell these supplies for no more than \$500 if it were to advertise them for sale. However, the company expects to use these supplies and to purchase more when they are gone. In its balance sheet, the supplies were presented at \$500.
- Perez Corporation purchased land in 1957 for \$40,000. In 2015, it purchased a similar parcel of land for \$300,000. In its 2015 balance sheet, the company presented these two parcels of land at a combined amount of \$340,000.
- At December 30, 2015, Felix, Inc., purchased a computer system from a mail-order supplier for \$14,000. The retail value of the system—according to the mail-order supplier—was \$20,000. On January 7, however, the system was stolen during a burglary. In its December 31, 2015, balance sheet, Felix showed this computer system at \$14,000 and made no reference to its retail value or to the burglary. The December balance sheet was issued in February 2016.

In each case, indicate the appropriate balance sheet amount of the asset under generally accepted accounting principles. If the amount assigned by the company is incorrect, briefly explain the accounting principles that have been violated. If the amount is correct, identify the accounting principles that justify this amount.

LO2-3

EXERCISE 2.5

Using the Accounting Equation

Compute the missing amounts in the following table:

	Assets	=	Liabilities	+	Owners' Equity
a.	\$635,000		\$342,000		?
b.	?		562,500		\$610,000
c.	307,500		?		187,200

LO2-3
EXERCISE 2.6
 The Accounting Equation

A number of business transactions carried out by Smalling Manufacturing Company are as follows:

- Borrowed money from a bank.
- Sold land for cash at a price equal to its cost.
- Paid a liability.
- Returned for credit some of the office equipment previously purchased on credit but not yet paid for. (Treat this the opposite of a transaction in which you purchased office equipment on credit.)
- Sold land for cash at a price in excess of cost. (Hint: The difference between cost and sales price represents a gain that will be in the company's income statement.)
- Purchased a computer on credit.
- The owner invested cash in the business.
- Purchased office equipment for cash.
- Collected an account receivable.

Indicate the effects of each of these transactions on the total amounts of the company's assets, liabilities, and owners' equity. Organize your answer in tabular form, using the following column headings and the code letters **I** for increase, **D** for decrease, and **NE** for no effect. The answer for transaction a is provided as an example:

Transaction	Assets = Liabilities + Owners' Equity		
(a)	I	I	NE

LO2-3
EXERCISE 2.7
 Effects of Business Transactions

For each of the following categories, state concisely a transaction that will have the required effect on the elements of the accounting equation.

- Increase an asset and increase a liability.
- Decrease an asset and decrease a liability.
- Increase one asset and decrease another asset.
- Increase an asset and increase owners' equity.
- Increase one asset, decrease another asset, and increase a liability.

LO2-8
EXERCISE 2.8
 Forms of Business Organization

Spencer Software Company has assets of \$850,000 and liabilities of \$460,000.

- Prepare the owners' equity section of the company's balance sheet under each of the following independent assumptions:
 - The business is organized as a sole proprietorship, owned by Johanna Spencer.
 - The business is organized as a partnership, owned by Johanna Spencer and Mikki Yato. Spencer's equity amounts to \$240,000.
 - The business is a corporation with 27 stockholders, each of whom originally invested \$10,000 in exchange for shares of the company's capital stock. The remainder of the stockholders' equity has resulted from profitable operation of the business.
- Assume that you are a loan officer at Security Bank. Spencer Software Company has applied to your bank for a large loan to finance the development of new products. Does it matter to you whether Spencer is organized as a sole proprietorship, a partnership, or a corporation? Explain.

LO2-9
EXERCISE 2.9
 Factors Contributing to Solvency

Explain whether each of the following balance sheet items increases, reduces, or has no direct effect on a company's ability to pay its obligations as they come due. Explain your reasoning.

- Cash.
- Accounts Payable.
- Accounts Receivable.
- Capital Stock.

LO2-2
EXERCISE 2.10
 Professional Judgment

Professional judgment plays a major role in the practice of accounting.

- In general terms, explain why judgment enters into the accounting process.
- Identify at least three situations in which accountants must rely on their professional judgment, rather than on official rules.

LO2-3

PROBLEM 2.3A

Recording the Effects of Transactions

Maxwell Communications was organized on December 1 of the current year and had the following account balances at December 31, listed in tabular form:

Assets					=	Liabilities		+	Owners' Equity				
	Cash	+	Office Equipment	+	Building	+	Land	=	Notes Payable	+	Accounts Payable	+	Capital Stock
Balances	\$37,000		\$51,250		\$125,000		\$95,000		\$80,000		\$28,250		\$200,000

Early in January, the following transactions were carried out by Maxwell Communications:

1. Sold capital stock to owners for \$35,000.
2. Purchased land and a small office building for a total price of \$90,000, of which \$35,000 was the value of the land and \$55,000 was the value of the building. Paid \$22,500 in cash and signed a note payable for the remaining \$67,500.
3. Bought several computer systems on credit for \$9,500 (30-day open account).
4. Obtained a loan from Capital Bank in the amount of \$20,000. Signed a note payable.
5. Paid the \$22,250 account payable due as of December 31.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown.
- b. Record the effects of each of the five transactions in the format illustrated in Exhibit 2-11. Show the totals for all columns after each transaction.

LO2-3

PROBLEM 2.4A

An Alternate Problem on Recording the Effects of Transactions

The items making up the balance sheet of Phillips Truck Rental at December 31 are listed below in tabular form similar to the illustration of the accounting equation in Exhibit 2-11.

Assets					=	Liabilities		+	Owners' Equity					
Cash	+	Accounts Receivable	+	Office Equipment	+	Trucks	=	Notes Payable	+	Accounts Payable	+	Capital Stock		
Balances		\$9,500		\$13,900		\$3,800		\$68,000		\$20,000		\$10,200		\$65,000

During a short period after December 31, Phillips Truck Rental had the following transactions:

1. Bought office equipment at a cost of \$2,700. Paid cash.
2. Collected \$4,000 of accounts receivable.
3. Paid \$3,200 of accounts payable.
4. Borrowed \$10,000 from a bank. Signed a note payable for that amount.
5. Purchased two trucks for \$30,500. Paid \$15,000 cash and signed a note payable for the balance.
6. Sold additional stock to investors for \$85,000.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown above.
- b. Record the effects of each of the six transactions in the preceding tabular arrangement. Show the totals for all columns after each transaction.

LO2-4
PROBLEM 2.5A

 Preparing a Balance Sheet;
 Effects of a Change in Assets

HERE COME THE CLOWNS! is the name of a traveling circus. The ledger accounts of the business at June 30, 2015, are listed here in alphabetical order:

Accounts Payable	\$ 26,100	Notes Payable	\$180,000
Accounts Receivable	7,450	Notes Receivable	9,500
Animals	189,060	Props and Equipment	89,580
Cages	24,630	Retained Earnings	27,230
Capital Stock	300,000	Salaries Payable	9,750
Cash	?	Tents	63,000
Costumes	31,500	Trucks & Wagons	105,840

Instructions

- Prepare a balance sheet by using these items and computing the amount of Cash at June 30, 2015. Organize your balance sheet similar to the one illustrated in Exhibit 2-10. Include a proper balance sheet heading.
- Assume that late in the evening of June 30, after your balance sheet had been prepared, a fire destroyed one of the tents, which had cost \$14,300. The tent was not insured. Explain what changes would be required in your June 30 balance sheet to reflect the loss of this asset.

The following list of balance sheet items are in random order for Alexander Farms, Inc., at September 30, 2015:

Land	\$490,000	Fences and Gates	\$ 33,570
Barns and Sheds	78,300	Irrigation System	20,125
Notes Payable	330,000	Cash	16,710
Accounts Receivable	22,365	Livestock	120,780
Citrus Trees	76,650	Farm Machinery	42,970
Accounts Payable	77,095	Retained Earnings	?
Property Taxes Payable	9,135	Wages Payable	5,820
Capital Stock	290,000		

Instructions

- Prepare a balance sheet by using these items and computing the amount for Retained Earnings. Use a sequence of assets similar to that illustrated in Exhibit 2-10. (After "Barns and Sheds," you may list the remaining assets in any order.) Include a proper heading for your balance sheet.
- Assume that on September 30, immediately after this balance sheet was prepared, a tornado completely destroyed one of the barns. This barn had a cost of \$14,000 and was not insured against this type of disaster. Explain what changes would be required in your September 30 balance sheet to reflect the loss of this barn.

LO2-3, LO2-4, LO2-6
PROBLEM 2.7A

 Preparing a Balance Sheet
 and Statement of Cash
 Flows; Effects of Business
 Transactions

The balance sheet items for Franklin Bakery (arranged in alphabetical order) were as follows at August 1, 2015. (You are to compute the missing figure for Retained Earnings.)

Accounts Payable	\$16,200	Equipment and Fixtures	\$44,500
Accounts Receivable	11,260	Land	67,000
Building	84,000	Notes Payable	74,900
Capital Stock	80,000	Salaries Payable	8,900
Cash	6,940	Supplies	7,000

During the next two days, the following transactions occurred:

- Aug. 2 Additional capital stock was sold for \$25,000. The accounts payable were paid in full. (No payment was made on the notes payable or salaries payable.)
- Aug. 3 Equipment was purchased at a cost of \$7,200 to be paid within 10 days. Supplies were purchased for \$1,250 cash from a restaurant supply center that was going out of business. These supplies would have cost \$1,890 if purchased through normal channels.

Instructions

- Prepare a balance sheet at August 1, 2015.
- Prepare a balance sheet at August 3, 2015, and a statement of cash flows for August 1–3. Classify the payment of accounts payable and the purchase of supplies as operating activities.
- Assume the notes payable do not come due for several years. Is Franklin Bakery in a stronger financial position on August 1 or on August 3? Explain briefly.

LO2-4 through LO2-6
PROBLEM 2.8A

Preparing Financial
Statements; Effects of
Business Transactions

The balance sheet items of The Soda Shop (arranged in alphabetical order) were as follows at the close of business on September 30, 2015:

Accounts Payable	\$ 8,500	Furniture and Fixtures	20,000
Accounts Receivable	1,250	Land	\$55,000
Building	45,500	Notes Payable	?
Capital Stock	50,000	Retained Earnings	4,090
Cash	7,400	Supplies	3,440

The transactions occurring during the first week of October were:

- Oct. 3** Additional capital stock was sold for \$30,000. The accounts payable were paid in full. (No payment was made on the notes payable.)
- Oct. 6** More furniture was purchased on account at a cost of \$18,000, to be paid within 30 days. Supplies were purchased for \$1,000 cash from a restaurant supply center that was going out of business. These supplies would have cost \$1,875 if purchased under normal circumstances.
- Oct. 1–6** Revenues of \$5,500 were earned and received in cash. Expenses required to earn the revenues of \$4,000 were incurred and paid in cash.

Instructions

- Prepare a balance sheet at September 30, 2015. (You will need to compute the missing figure for Notes Payable.)
- Prepare a balance sheet at October 6, 2015. Also prepare an income statement and a statement of cash flows for the period October 1–6, 2015. In your statement of cash flows, treat the purchase of supplies and the payment of accounts payable as operating activities.
- Assume the notes payable do not come due for several years. Is The Soda Shop in a stronger financial position on September 30 or on October 6? Explain briefly.

LO2-4, LO2-8**PROBLEM 2.9A**

Preparing a Balance Sheet;
Discussion of Accounting
Principles

Anita Spencer is the founder and manager of Spencer Playhouse. The business needs to obtain a bank loan to finance the production of its next play. As part of the loan application, Anita Spencer was asked to prepare a balance sheet for the business. She prepared the following balance sheet, which is arranged correctly but which contains several errors with respect to such concepts as the business entity and the valuation of assets, liabilities, and owner's equity.

SPENCER PLAYHOUSE
BALANCE SHEET
SEPTEMBER 30, 2015

Assets		Liabilities & Owner's Equity	
Cash	\$ 21,900	Liabilities:	
Accounts Receivable	132,200	Accounts Payable	\$ 6,000
Props and Costumes	3,000	Salaries Payable	29,200
Theater Building	27,000	Total liabilities	\$ 35,200
Lighting Equipment	9,400	Owner's equity:	
Automobile	15,000	Anita Spencer, Capital	173,300
Total	<u>\$208,500</u>	Total	<u>\$208,500</u>

In discussions with Anita Spencer and by reviewing the accounting records of Spencer Playhouse, you determine the following facts:

1. The amount of cash, \$21,900, includes \$15,000 in the company's bank account, \$1,900 on hand in the company's safe, and \$5,000 in Anita Spencer's personal savings account.
2. The accounts receivable, listed as \$132,200, include \$7,200 owed to the business by Artistic Tours. The remaining \$125,000 is Anita Spencer's estimate of future ticket sales from September 30 through the end of the year (December 31).
3. Anita Spencer explains to you that the props and costumes were purchased several days ago for \$18,000. The business paid \$3,000 of this amount in cash and issued a note payable to Actors' Supply Co. for the remainder of the purchase price (\$15,000). As this note is not due until January of next year, it was not included among the company's liabilities.
4. Spencer Playhouse rents the theater building from Kievits International at a rate of \$3,000 a month. The \$27,000 shown in the balance sheet represents the rent paid through September 30 of the current year. Kievits International acquired the building seven years ago at a cost of \$135,000.
5. The lighting equipment was purchased on September 26 at a cost of \$9,400, but the stage manager says that it isn't worth a dime.
6. The automobile is Anita Spencer's classic 1978 Jaguar, which she purchased two years ago for \$9,000. She recently saw a similar car advertised for sale at \$15,000. She does not use the car in the business, but it has a personalized license plate that reads "PLAHOUS."
7. The accounts payable include business debts of \$3,900 and the \$2,100 balance of Anita Spencer's personal Visa card.
8. Salaries payable include \$25,000 offered to Mario Dane to play the lead role in a new play opening next December and \$4,200 still owed to stagehands for work done through September 30.
9. When Anita Spencer founded Spencer Playhouse several years ago, she invested \$20,000 in the business. However, Live Theatre, Inc., recently offered to buy her business for \$173,300. Therefore, she listed this amount as her equity in the above balance sheet.

Instructions

- a. Prepare a corrected balance sheet for Spencer Playhouse at September 30, 2015.
- b. For each of the nine numbered items above, explain your reasoning in deciding whether or not to include the items in the balance sheet and in determining the proper dollar valuation.

LO2-2, LO2-4

PROBLEM 2.10A

Preparing a Balance Sheet;
Discussion of Accounting
Principles

Big Screen Scripts is a service-type enterprise in the entertainment field, and its manager, William Pippin, has only a limited knowledge of accounting. Pippin prepared the following balance sheet, which, although arranged satisfactorily, contains certain errors with respect to such concepts as the business entity and asset valuation. Pippin owns all of the corporation's outstanding stock.

BIG SCREEN SCRIPTS BALANCE SHEET NOVEMBER 30, 2015			
Assets		Liabilities & Owner's Equity	
Cash	\$ 5,150	Liabilities:	
Notes Receivable	2,700	Notes Payable	\$ 67,000
Accounts Receivable	2,450	Accounts Payable	35,805
Land	70,000	Total liabilities	\$102,805
Building	54,320	Owner's equity:	
Office Furniture	8,850	Capital Stock	5,000
Other Assets	22,400	Retained Earnings	58,065
Total	<u>\$165,870</u>	Total	<u>\$165,870</u>

In discussion with Pippin and by inspection of the accounting records, you discover the following facts:

1. The amount of cash, \$5,150, includes \$3,400 in the company's bank account, \$540 on hand in the company's safe, and \$1,210 in Pippin's personal savings account.
2. One of the notes receivable in the amount of \$500 is an IOU that Pippin received in a poker game several years ago. The IOU is signed by "B.K.," whom Pippin met at the game but has not heard from since.
3. Office furniture includes \$2,900 for a Persian rug for the office purchased on November 20. The total cost of the rug was \$9,400. The business paid \$2,900 in cash and issued a note payable to Zoltan Carpet for the balance due (\$6,500). As no payment on the note is due until January, this debt is not included in the liabilities above.
4. Also included in the amount for office furniture is a computer that cost \$2,525 but is not on hand because Pippin donated it to a local charity.
5. The "Other Assets" of \$22,400 represent the total amount of income taxes Pippin has paid the federal government over a period of years. Pippin believes the income tax law to be unconstitutional, and a friend who attends law school has promised to help Pippin recover the taxes paid as soon as he passes the bar exam.
6. The asset "Land" was acquired at a cost of \$39,000 but was increased to a valuation of \$70,000 when one of Pippin's friends offered to pay that much for it if Pippin would move the building off the lot.
7. The accounts payable include business debts of \$32,700 and the \$3,105 balance owed on Pippin's personal MasterCard.

Instructions

- a. Prepare a corrected balance sheet at November 30, 2015.
- b. For each of the seven numbered items above, use a separate numbered paragraph to explain whether the treatment followed by Pippin is in accordance with generally accepted accounting principles.

Problem Set B

connect
ACCOUNTING

LO2-4

PROBLEM 2.1B

Preparing and Evaluating
a Balance Sheet

Listed below in random order are the items to be included in the balance sheet of Tri-State Lodge at December 31, 2015:

Equipment	\$ 9,000	Buildings	\$430,000
Land	140,000	Capital Stock	?
Accounts Payable	27,400	Cash	9,100
Accounts Receivable	3,300	Furnishings	22,600
Salaries Payable	13,200	Notes Payable	217,000
Interest Payable	4,000	Retained Earnings	225,400

Instructions

- a. Prepare a balance sheet at December 31, 2015. Include a proper heading and organize your balance sheet similar to the illustrations shown in Chapter 2. You will need to compute the amount to be shown for Capital Stock.
- b. Assume that no payment is due on the notes payable until 2017. Does this balance sheet indicate that the company is in a strong financial position as of December 31, 2015? Explain briefly.

LO2-3

PROBLEM 2.2B

Interpreting the Effects of
Business Transactions

Six transactions of Prosperity Company, a corporation, are summarized below in equation form, with each of the six transactions identified by a letter. For each of the transactions (a) through (f) write a separate statement explaining the nature of the transaction. For example, the explanation of transaction (a) could be as follows: Purchased furniture for cash at a cost of \$800.

Assets						= Liabilities + Owners' Equity	
	Cash	+ Accounts Receivable	+ Furniture	+ Building	+ Land	= Accounts Payable	+ Capital Stock
Balances	\$ 9,000	\$30,000	\$10,000	\$90,000	\$40,000	\$30,000	\$149,000
(a)	-800		+800				
Balances	\$ 8,200	\$30,000	\$10,800	\$90,000	\$40,000	\$30,000	\$149,000
(b)	+500	-500					
Balances	\$ 8,700	\$29,500	\$10,800	\$90,000	\$40,000	\$30,000	\$149,000
(c)	-3,000		+5,000				
Balances	\$ 5,700	\$29,500	\$15,800	\$90,000	\$40,000	+2,000	\$149,000
(d)	-2,000					\$32,000	
Balances	\$ 3,700	\$29,500	\$15,800	\$90,000	\$40,000	-2,000	\$149,000
(e)	+10,000					\$30,000	
Balances	\$13,700	\$29,500	\$15,800	\$90,000	\$40,000	+3,000	\$159,000
(f)			+3,000				
Balances	\$13,700	\$29,500	\$18,800	\$90,000	\$40,000	\$33,000	\$159,000

LO2-3

PROBLEM 2.3B

Recording the Effects of Transactions

Delta Corporation was organized on December 1 of the current year and had the following account balances at December 31, listed in tabular form:

Assets					=	Liabilities		+ Owners' Equity
	Cash	+ Office Equipment	+ Building	+ Land	=	Notes Payable	+ Accounts Payable	+ Capital Stock
Balances	\$12,000	\$41,300	\$66,000	\$80,000	=	\$42,000	\$7,300	\$150,000

Early in January, the following transactions were carried out by Delta Corporation:

1. Sold capital stock to owners for \$40,000.
2. Purchased land and a small office building for a total price of \$80,000, of which \$30,000 was the value of the land and \$50,000 was the value of the building. Paid \$10,000 in cash and signed a note payable for the remaining \$70,000.
3. Bought several computer systems on credit for \$8,000 (30-day open account).
4. Obtained a loan from 2nd Bank in the amount of \$12,000. Signed a note payable.
5. Paid \$6,000 of account payable due as of December 31.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown above.
- b. Record the effects of each of the five transactions in the format illustrated in Chapter 2 of the text. Show the totals for all columns after each transaction.

LO2-3

PROBLEM 2.4B

An Alternate Problem on Recording the Effects of Transactions

The items making up the balance sheet of Maxx Trucking at December 31 are listed below in tabular form similar to the illustration of the accounting equation in Chapter 2 of the text.

Assets					=	Liabilities		+ Owners' Equity
	Cash	+ Accounts Receivable	+ Office Equipment	+ Trucks	=	Notes Payable	+ Accounts Payable	+ Capital Stock
Balances	\$4,700	\$8,300	\$3,000	\$72,000	=	\$10,000	\$8,000	\$70,000

Chapter 2 Basic Financial Statements

During a short period after December 31, Maxx Trucking had the following transactions:

1. Bought office equipment at a cost of \$2,600. Paid cash.
2. Collected \$2,500 of accounts receivable.
3. Paid \$2,000 of accounts payable.
4. Borrowed \$5,000 from a bank. Signed a note payable for that amount.
5. Purchased three trucks for \$60,000. Paid \$5,000 cash and signed a note payable for the balance.
6. Sold additional stock to investors for \$25,000.

Instructions

- a. List the December 31 balances of assets, liabilities, and owners' equity in tabular form as shown above.
- b. Record the effects of each of the six transactions in the tabular arrangement illustrated above. Show the totals for all columns after each transaction.

LO2-4

PROBLEM 2.5B

Preparing a Balance Sheet;
Effects of a Change in
Assets

Circus World is the name of a traveling circus. The ledger accounts of the business at June 30, 2015, are listed here in alphabetical order:

Accounts Payable	\$ 25,000	Notes Payable	\$115,000
Accounts Receivable	5,600	Notes Receivable	1,200
Animals	310,000	Props and Equipment	108,000
Cages	15,000	Retained Earnings	89,000
Capital Stock	400,000	Salaries Payable	1,250
Cash	?	Tents	40,000
Costumes	16,000	Trucks & Wagons	125,300

Instructions

- a. Prepare a balance sheet by using these items and computing the amount of Cash at June 30, 2015. Include a proper balance sheet heading.
- b. Assume that late in the evening of June 30, after your balance sheet had been prepared, a fire destroyed one of the tents, which had cost \$10,000. The tent was not insured. Explain what changes would be required in your June 30 balance sheet to reflect the loss of this asset.

LO2-4

PROBLEM 2.6B

Preparing a Balance
Sheet—A Second Problem

Shown below in random order is a list of balance sheet items for Maple Valley Farms at September 30, 2015:

Land	\$ 50,000	Fences and Gates	\$14,100
Barns and Sheds	19,100	Irrigation System	10,200
Notes Payable	65,000	Cash	9,300
Accounts Receivable	15,000	Livestock	5,000
Apple Trees	84,000	Farm Machinery	20,000
Accounts Payable	8,100	Retained Earnings	?
Property Taxes Payable	4,700	Wages Payable	1,200
Capital Stock	100,000		

Instructions

- a. Prepare a balance sheet by using these items and computing the amount for Retained Earnings. Use a sequence of assets similar to that illustrated in Chapter 2 of the text. Include a proper heading for your balance sheet.
- b. Assume that on September 30, immediately after this balance sheet was prepared, a tornado completely destroyed one of the barns. This barn had a cost of \$4,500 and was not insured against this type of disaster. Explain what changes would be required in your September 30 balance sheet to reflect the loss of this barn.

LO2-3, LO2-4, LO2-6

PROBLEM 2.7B

Preparing a Balance Sheet and Statement of Cash Flows; Effects of Business Transactions

The balance sheet items for Collier Butcher Shop (arranged in alphabetical order) were as follows at July 1, 2015. (You are to compute the missing figure for Retained Earnings.)

Accounts Payable	\$ 7,000	Equipment and Fixtures	\$25,000
Accounts Receivable	8,200	Land	50,000
Building	90,000	Notes Payable	40,000
Capital Stock	100,000	Salaries Payable	3,700
Cash	4,100	Supplies	7,000

During the next few days, the following transactions occurred:

- July 4** Additional capital stock was sold for \$30,000. The accounts payable were paid in full. (No payment was made on the notes payable or salaries payable.)
- July 5** Equipment was purchased at a cost of \$6,000 to be paid within 10 days. Supplies were purchased for \$1,000 cash from a restaurant supply center that was going out of business. These supplies would have cost \$2,000 if purchased through normal channels.

Instructions

- a. Prepare a balance sheet at July 1, 2015.
- b. Prepare a balance sheet at July 5, 2015, and a statement of cash flows for July 1–5. Classify the payment of accounts payable and the purchase of supplies as operating activities.
- c. Assume the notes payable do not come due for several years. Is Collier Butcher Shop in a stronger financial position on July 1 or on July 5? Explain briefly.

LO2-4 through LO2-6

PROBLEM 2.8B

Preparing Financial Statements; Effects of Business Transactions

The balance sheet items of The Sweet Shop (arranged in alphabetical order) were as follows at the close of the business on September 30, 2015:

Accounts Payable	\$ 6,800	Furniture and Fixtures	\$ 9,000
Accounts Receivable	5,000	Land	72,000
Building	80,000	Notes Payable	?
Capital Stock	100,000	Retained Earnings	19,100
Cash	6,900	Supplies	3,000

The transactions occurring during the first week of October were:

- Oct. 3** Additional capital stock was sold for \$30,000. The accounts payable were paid in full. (No payment was made on the notes payable.)
- Oct. 6** Furniture was purchased on account at a cost of \$8,000, to be paid within 30 days. Supplies were purchased for \$900 cash from a restaurant supply center that was going out of business. These supplies would have cost \$2,000 if purchased under normal circumstances.
- Oct. 1–6** Revenues of \$8,000 were earned and received in cash. Expenses required to earn the revenues of \$3,200 were incurred and paid in cash.

Instructions

- a. Prepare a balance sheet at September 30, 2015. (You will need to compute the missing figure for Notes Payable.)
- b. Prepare a balance sheet at October 6, 2015. Also prepare an income statement and a statement of cash flows for the period October 1–6, 2015. In your statement of cash flows, treat the purchase of supplies and the payment of accounts payable as operating activities.
- c. Assume the notes payable do not come due for several years. Is The Sweet Shop in a stronger financial position on September 30 or on October 6? Explain briefly.

LO2-4, LO2-8
PROBLEM 2.9BPreparing a Balance Sheet;
Discussion of Accounting
Principles

Howard Jaffe is the founder and manager of Old Town Playhouse. The business wishes to obtain a bank loan to finance the production of its next play. As part of the loan application, Jaffe was asked to prepare a balance sheet for the business. He prepared the following balance sheet, which is arranged correctly but which contains several errors with respect to such concepts as the business entity and the valuation of assets, liabilities, and owner's equity.

OLD TOWN PLAYHOUSE BALANCE SHEET SEPTEMBER 30, 2015

Assets		Liabilities & Owner's Equity	
Cash	\$ 19,400	Liabilities:	
Accounts Receivable	150,200	Accounts Payable	\$ 7,000
Props and Costumes	3,000	Salaries Payable	32,000
Theater Building	26,000	Total Liabilities	\$ 39,000
Lighting Equipment	10,000	Owner's Equity:	
Automobile	15,000	Howard Jaffe,	
		Capital	184,600
Total	<u>\$223,600</u>	Total	<u>\$223,600</u>

In discussions with Jaffe and by reviewing the accounting records of Old Town Playhouse, you discover the following facts:

1. The amount of cash, \$19,400, includes \$16,000 in the company's bank account, \$2,400 on hand in the company's safe, and \$1,000 in Jaffe's personal savings account.
2. The accounts receivable, listed as \$150,200, include \$10,000 owed to the business by Dell, Inc. The remaining \$140,200 is Jaffe's estimate of future ticket sales from September 30 through the end of the year (December 31).
3. Jaffe explains to you that the props and costumes were purchased several days ago for \$18,000. The business paid \$3,000 of this amount in cash and issued a note payable to Ham's Supply Co. for the remainder of the purchase price (\$15,000). As this note is not due until January of next year, it was not included among the company's liabilities.
4. Old Town Playhouse rents the theater building from Time International. The \$26,000 shown in the balance sheet represents the rent paid through September 30 of the current year. Time International acquired the building seven years ago at a cost of \$180,000.
5. The lighting equipment was purchased on September 26 at a cost of \$10,000, but the stage manager says that it isn't worth a dime.
6. The automobile is Jaffe's classic 1935 Ford, which he purchased two years ago for \$12,000. He recently saw a similar car advertised for sale at \$15,000. He does not use the car in the business, but it has a personalized license plate that reads "OTPLAY."
7. The accounts payable include business debts of \$6,000 and the \$1,000 balance of Jaffe's personal Visa card.
8. Salaries payable include \$30,000 offered to Robin Needelman to play the lead role in a new play opening next December and \$2,000 still owed to stagehands for work done through September 30.
9. When Jaffe founded Old Town Playhouse several years ago, he invested \$20,000 in the business. However, New Theatre, Inc., recently offered to buy his business for \$184,600. Therefore, he listed this amount as his equity in the above balance sheet.

Instructions

- a. Prepare a corrected balance sheet for Old Town Playhouse at September 30, 2015.
- b. For each of the nine numbered items above, explain your reasoning for deciding whether or not to include the items in the balance sheet and in determining the proper dollar valuation.

LO2-2, LO2-4

PROBLEM 2.10B

Preparing a Balance Sheet;
Discussion of Accounting
Principles

Star Scripts is a service-type enterprise in the entertainment field, and its manager, Joe Smartt, has only a limited knowledge of accounting. Joe prepared the following balance sheet, which, although arranged satisfactorily, contains certain errors with respect to such concepts as the business entity and asset valuation. Joe owns all of the corporation's outstanding stock.

STAR SCRIPTS BALANCE SHEET NOVEMBER 30, 2015			
Assets		Liabilities & Owner's Equity	
Cash	\$ 5,000	Liabilities:	\$ 65,000
Notes Receivable	4,000	Notes Payable	32,000
Accounts Receivable	3,000	Accounts Payable	\$ 97,000
Land	60,000	Total Liabilities	
Building	75,000	Owner's Equity:	10,000
Office Furniture	9,600	Capital Stock	74,600
Other Assets	25,000	Retained Earnings	\$181,600
Total	<u>\$181,600</u>	Total	<u>\$181,600</u>

In discussion with Joe and by inspection of the accounting records, you discover the following facts:

1. The amount of cash, \$5,000, includes \$2,000 in the company's bank account, \$1,200 on hand in the company's safe, and \$1,800 in Joe's personal savings account.
2. One of the notes receivable in the amount of \$600 is an IOU that Joe received in a poker game five years ago. The IOU is signed by "G.W.," whom Joe met at the game but has not heard from since.
3. Office furniture includes \$2,500 for an Indian rug for the office purchased on November 15. The total cost of the rug was \$10,000. The business paid \$2,500 in cash and issued a note payable to Jana Interiors for the balance due (\$7,500). As no payment on the note is due until January, this debt is not included in the liabilities above.
4. Also included in the amount for office furniture is a computer that cost \$800 but is not on hand because Joe donated it to a local charity.
5. The "Other Assets" of \$25,000 represent the total amount of income taxes Joe has paid the federal government over a period of years. Joe believes the income tax law to be unconstitutional, and a friend who attends law school has promised to help Joe recover the taxes paid as soon as he passes the bar exam.
6. The asset "Land" was acquired at a cost of \$15,000 but was increased to a valuation of \$60,000 when one of Joe's friends offered to pay that much for it if Joe would move the building off the lot.
7. The accounts payable include business debts of \$30,000 and the \$2,000 balance owed on Joe's personal MasterCard.

Instructions

- a. Prepare a corrected balance sheet at November 30, 2015.
- b. For each of the seven numbered items above, use a separate numbered paragraph to explain whether the treatment followed by Joe is in accordance with generally accepted accounting principles.

Critical Thinking Cases

LO2-4

CASE 2.1

Content of a Balance Sheet

You are asked to prepare a balance sheet for a *hypothetical* business entity of your choosing (or specified by your instructor). Include in your balance sheet the types of assets and liabilities that you think the entity might have, and show these items at what you believe would be realistic dollar amounts. Make reasonable assumptions with regard to the company's capital stock and retained earnings.

Note: The purpose of this assignment is to help you consider the types of assets and liabilities required for the operations of a specific type of business. You should complete this assignment *without* referring to an actual balance sheet for this type of business.

LO2-4 through LO2-6

CASE 2.2

Using Financial Statements



Obtain from the library the *annual report* of a well-known company (or a company specified by your instructor).

Instructions

From the balance sheet, income statement, statement of cash flows, and notes to the financial statements, answer the following:

- What are the largest assets included in the company's balance sheet? Why would a company of this type (size and industry) have a large investment in this particular type of asset?
- In a review of the company's statement of cash flows:
 - What are the primary sources and uses of cash from investing activities?
 - Did investing activities cause the company's cash to increase or decrease?
 - What are the primary sources and uses of cash from financing activities?
 - Did financing activities cause the company's cash to increase or decrease?
- In a review of the company's income statement, did the company have a net income or a net loss for the most recent year? What percentage of total revenues was that net income or net loss?
- Select three items in the notes accompanying the financial statements and explain briefly the importance of these items to people making decisions about investing in, or extending credit to, this company.
- Assume that you are a lender and this company has asked to borrow an amount of cash equal to 10 percent of its total assets, to be repaid in 90 days. Would you consider this company to be a good credit risk? Explain.

LO2-4

CASE 2.3

Using a Balance Sheet

Moon Corporation and Star Corporation are in the same line of business and both were recently organized, so it may be assumed that the recorded costs for assets are close to current market values. The balance sheets for the two companies are as follows at July 31, 2015:

MOON CORPORATION BALANCE SHEET JULY 31, 2015			
Assets		Liabilities & Owners' Equity	
Cash	\$ 18,000	Liabilities:	
Accounts Receivable ..	26,000	Notes Payable	
Office Equipment	1,200	(due in 60 days)	\$ 12,400
Building	38,000	Accounts Payable	9,600
Land	37,200	Total liabilities	\$ 22,000
		Stockholders' equity:	
		Capital Stock	\$60,000
		Retained Earnings ..	38,400
Total	<u>\$120,400</u>	Total	<u>\$120,400</u>

STAR CORPORATION BALANCE SHEET JULY 31, 2015

Assets		Liabilities & Owners' Equity	
Cash	\$ 4,800	Liabilities:	
Accounts Receivable ...	9,600	Notes Payable	
Office Equipment	12,000	(due in 60 days)	\$ 22,400
Building	60,000	Accounts Payable	43,200
Land	96,000	Total liabilities	\$ 65,600
		Stockholders' equity:	
		Capital Stock	\$72,000
		Retained Earnings	44,800
Total	<u>\$182,400</u>	Total	<u>\$182,400</u>

Instructions

- Assume that you are a banker and that each company has applied to you for a 90-day loan of \$12,000. Which would you consider to be the more favorable prospect? Explain your answer fully.
- Assume that you are an investor considering purchasing all the capital stock of one or both of the companies. For which business would you be willing to pay the higher price? Do you see any indication of a financial crisis that you might face shortly after buying either company? Explain your answer fully. (For either decision, additional information would be useful, but you are to reach your decision on the basis of the information available.)

LO2-6

CASE 2.4

Using Statements of Cash Flows



John Marshall is employed as a bank loan officer for First State Bank. He is comparing two companies that have applied for loans, and he wants your help in evaluating those companies. The two companies—Morris, Inc., and Walker Company—are approximately the same size and had approximately the same cash balance at the beginning of 2013. Because the total cash flows for the three-year period are virtually the same, John is inclined to evaluate the two companies as equal in terms of their desirability as loan candidates.

Abbreviated information (in thousands of dollars) from Morris, Inc., and Walker Company is as follows:

	Morris, Inc.			Walker Company		
	2013	2014	2015	2013	2014	2015
Cash flows from:						
Operating activities	\$10	\$13	\$15	\$ 8	\$3	\$(2)
Investing activities	(5)	(8)	(10)	(7)	(5)	8
Financing activities	8	(3)	1	12	4	-0-
Net from all activities	<u>\$13</u>	<u>\$ 2</u>	<u>\$ 6</u>	<u>\$13</u>	<u>\$2</u>	<u>\$ 6</u>

Instructions

- Do you agree with John's preliminary assessment that the two companies are approximately equal in terms of their strength as loan candidates? Why or why not?
- What might account for the fact that Walker Company's cash flow from financing activities is zero in 2015?
- Generally, what would you advise John with regard to using statements of cash flows in evaluating loan candidates?

Chapter 2 Basic Financial Statements

LO2-4

CASE 2.5

Ethics and Window Dressing



The date is November 18, 2015. You are the chief executive officer of Omega Software—a publicly owned company that is currently in financial difficulty. Omega needs new large bank loans if it is to survive.

You have been negotiating with several banks, but each has asked to see your 2015 financial statements, which will be dated December 31. These statements will, of course, be audited. You are now meeting with other corporate officers to discuss the situation, and the following suggestions have been made:

1. "We are planning to buy WordMaster Software Co. for \$8 million cash in December. The owners of WordMaster are in no hurry; if we delay this acquisition until January, we'll have \$8 million more cash at year-end. That should make us look a lot more solvent."
2. "At year-end, we'll owe accounts payable of about \$18 million. If we were to show this liability in our balance sheet at half that amount—say, \$9 million—no one would know the difference. We could report the other \$9 million as stockholders' equity and our financial position would appear much stronger."
3. "We owe Delta Programming \$5 million, due in 90 days. I know some people at Delta. If we were to sign a note and pay them 10 percent interest, they'd let us postpone this debt for a year or more."
4. "We own land that cost us \$2 million but today is worth at least \$6 million. Let's show it at \$6 million in our balance sheet, and that will increase our total assets and our stockholders' equity by \$4 million."

Instructions

Separately evaluate each of these four proposals to improve Omega Software's financial statements. Your evaluations should consider ethical and legal issues as well as accounting issues.

The Public Company Accounting Oversight Board (PCAOB) is a direct outcome of the Sarbanes-Oxley Act of 2002. This is considered one of the most significant pieces of legislation to have ever been enacted in terms of financial reporting in several decades. To respond to the instructions in this case, use the methodology of your choice to locate the Web site of the PCAOB.

Instructions

- a. State the mission of the PCAOB.
- b. Access the category "About Us" and list the names of the members of the PCAOB.
- c. Access the category "Enforcement" and describe the authority the PCAOB has been granted by the Sarbanes-Oxley Act of 2002.
- d. Access the category "Standards" and describe the responsibility of the PCAOB to establish standards that impact corporate financial reporting.

This assignment introduces you to EDGAR, the Securities and Exchange Commission's database of financial information about publicly owned companies. The SEC maintains EDGAR to increase the efficiency of financial reporting in the American economy and also to give the public free and easy access to information about publicly owned companies.

Instructions

Access EDGAR at the following Internet address: www.sec.gov. Study the website enough to be able to access the financial statements of Cisco Systems, Inc. Locate the company's most recent 10Q (quarterly) report.

- a. What is the business address of Cisco Systems?
- b. Locate the balance sheet in Form 10Q and determine whether the amount of the company's cash (and cash equivalents) increased or decreased in the most recent quarter.
- c. Locate the income statement (called the "statement of operations"). What was the company's net income for the most recent quarter? Is that amount higher or lower than in the previous quarter?

LO2-9

CASE 2.6

Public Company Accounting Oversight Board



LO2-4, LO2-5

INTERNET CASE 2.7

Gathering Financial Information



- d. Analyze the statement of cash flows. How much cash was provided by operations to date for the current year?
- e. While you are in EDGAR, pick another company that interests you and learn more about it by studying that company's information. Be prepared to tell the class which company you selected and explain what you learned.

Internet sites are time and date sensitive. It is the purpose of these exercises to have you explore the Internet. You may need to use the Yahoo! search engine www.yahoo.com (or another favorite search engine) to find a company's current web address.

Answers to Self-Test Questions

1. a, c, d 2. b 3. b, d 4. c 5. b, c 6. b, d 7. a 8. a, b, d